

cover story MARKET CRASH

IS YOUR

The crash that shook the market shows that the key to survival is to understand volatility, temper investment expectations and believe in the potential of the India story

MONEY

SAFE?

■ By Shankkar Aiyar and Malini Bhupta

In the epic *Mahabharata*, King Yaksha asks Yudhishtir what he thinks is the most curious aspect of life. Yudhishtir replies, "Mortality is a fact of life, every day people see someone dying, yet they live as if they are immortal." He could just as well have been speaking about investors and the stock market. On January 23, a day after the stock market registered the single biggest intraday crash, operators, punters and investors were back on the bourse to propagate optimism and push the Sensex up 875 points, beyond the 17,000 mark. As with life, the stock market symbolises uncertainty and breeds optimism. Just a week before the crash, as investors jostled for a slice of the Rs 11,700-crore Reliance Power public issue, the IPO was subscribed in 58 seconds. The issue was oversubscribed 73 times to net applications worth Rs 7,50,000 crore. Finance Minister P. Chidambaram, who was hosting an informal lunch to celebrate Pongal, described the success of the issue as vindication of the India story. On January 22, the market crashed 2,200 points within minutes of opening. As Chidambaram advocated calm and reiterated his confidence in the economy, optimism seemed to evaporate as dire pessimism settled in. The India story suddenly seemed more like mythology.

20,873.3

January 8

20,582.2

January 10